

Amana Takaful PLC

Interim Report

30 September 2023



STATEMENT OF FINANCIAL POSITION

AS AT	Notes	Group		Company	
		Unaudited as at 30.09.2023 Rs.	Audited as at 31.12.2022 Rs.	Unaudited as at 30.09.2023 Rs.	Audited as at 31.12.2022 Rs.
ASSETS					
Intangible Assets		194,207,686	174,990,104	29,016,082	29,011,509
Property, Plant and Equipment		139,407,398	90,585,828	49,621,437	41,203,417
Right of use of Lease assets	3	333,421,909	412,671,693	18,381,001	41,162,369
Deferred Tax Asset	13	14,184,138	15,874,369	-	-
Investment Property		150,550,000	150,550,000	-	-
Investment in Subsidiary		-	-	2,321,296,489	2,156,026,697
Financial Assets	4	7,865,462,515	7,056,732,879	1,524,249,221	1,377,904,670
Financial Assets - Unit Linked	5	2,853,374,607	2,425,246,987	-	-
Retakaful (Reinsurance) Receivables		356,989,567	368,471,084	208,422,953	197,567,498
Contribution (Premium) Receivable		1,485,081,584	1,356,628,068	1,012,602,565	1,021,764,011
Other Assets		503,988,212	395,043,398	185,818,006	127,418,263
Cash and Bank Balances	11	239,839,321	244,776,076	81,641,609	61,439,739
Cash and Bank Balances - Unit Linked	11	4,616,445	15,841,002	-	-
Total Assets		14,141,123,382	12,707,411,487	5,431,049,362	5,053,498,171
LIABILITIES					
Insurance Contract Liabilities - Non Life		3,578,539,681	2,555,353,272	1,271,402,335	1,068,902,980
Insurance Contract Liabilities - Family Takaful Fund		303,424,871	356,693,216	-	-
Insurance Contract Liabilities- Family Takaful Unit Linked		2,847,704,969	2,473,579,681	-	-
Employee Benefits		157,573,166	156,208,096	53,784,056	51,898,474
Subordinated Debt		322,370,434	413,764,648	345,914,482	464,704,354
Other Liabilities - Unit Linked		174,562,421	118,930,337	-	-
Other Liabilities		2,057,335,776	2,196,810,131	796,117,270	676,632,167
Lease Liability	3	161,788,231	206,129,829	18,387,664	43,266,252
Total Liabilities		9,603,299,550	8,477,469,211	2,485,605,807	2,305,404,227
SHAREHOLDERS' EQUITY					
Stated Capital	21	1,966,338,648	1,860,001,339	1,966,338,648	1,860,001,339
Other Reserves		684,467,992	882,593,581	33,541,361	33,541,361
Revenue Reserves		335,690,372	50,079,629	945,563,547	854,551,245
		2,986,497,011	2,792,674,549	2,945,443,555	2,748,093,944
Non Controlling Interest		1,551,326,822	1,437,267,727	-	-
Total Equity		4,537,823,833	4,229,942,276	2,945,443,555	2,748,093,944
Total Liabilities and Equity		14,141,123,382	12,707,411,487	5,431,049,362	5,053,498,171

The notes form an integral part of the Financial Statements.

We certify that the preparation and presentation of these Financial Statements comply with the requirements under Companies Act, No. 07 of 2007.

Signed

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M. Rinaz Niyas
Head of Finance

Signed for and on behalf of the Board

Signed

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Shehan Feisal
Chief Executive Officer

Signed

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Director

Colombo
14 November 2023

Signed

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Director

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 SEPTEMBER	Notes	Group			Company		
		Unaudited 2023	Unaudited 2022	Change	Unaudited 2023	Unaudited 2022 Restated Rs.	Change
		Rs.	Rs.	%	Rs.		%
Gross Written Contribution (Premium)	6	7,603,171,738	6,365,546,309	19%	2,960,419,723	2,546,982,143	16%
Retakaful Contribution (Reinsurance Premium)		(1,390,266,633)	(1,582,728,488)	12%	(834,791,749)	(854,111,017)	2%
Net Written Contribution (Premium)		6,212,905,105	4,782,817,821	30%	2,125,627,974	1,692,871,126	26%
Net Change in Reserve for Un-Earned Contribution (Premium)		(903,431,765)	(530,946,920)	70%	(262,379,733)	(151,578,722)	-73%
Net Earned Contribution (Premium)		5,309,473,341	4,251,870,901	25%	1,863,248,241	1,541,292,403	21%
Other Revenue							
Income from investments		829,114,655	464,952,434	78%	199,749,571	72,532,019	175%
Share of Profit of Equity accounted Subsidiaries		-	-	-	142,693,499	237,664,229	-40%
Other income		337,723,428	367,531,174	-8%	102,130,553	209,651,941	-51%
Total Revenue	7	6,476,311,424	5,084,354,509	27%	2,307,821,864	2,061,140,593	12%
Benefits, Losses and Expenses							
Takaful (Insurance) claims and benefits		(3,828,668,686)	(2,496,850,176)	-53%	(1,342,904,068)	(900,461,865)	-49%
Acquisition Cost (net of reinsurance commission)		(514,048,550)	(382,198,525)	-34%	(177,414,733)	(139,923,718)	-27%
Change in Family Takaful Contract Liability		(317,746,499)	(192,864,883)	-65%	-	-	-
Other Operating and Administration Expenses		(1,478,897,109)	(1,295,435,774)	-14%	(659,025,898)	(589,204,603)	-12%
Depreciation		(69,658,914)	(51,359,187)	-36%	(32,369,786)	(23,970,878)	-35%
Total Claims, Benefits and Expenses		(6,209,019,758)	(4,418,708,546)	-41%	(2,211,714,485)	(1,653,561,064)	-34%
Profit from Operations		267,291,666	665,645,963	-60%	96,107,379	407,579,529	-76%
Finance cost		(45,432,549)	(48,359,304)	6%	(35,509,479)	(39,634,605)	10%
Profit Before Taxation	10	221,859,117	617,286,658	-64%	60,597,901	367,944,923	-84%
Income Tax Expenses	12	(35,503,352)	(63,817,567)	44%	-	-	-
Net Profit for the Period		186,355,765	553,469,092	-66%	60,597,901	367,944,923	-84%
Attributable to:							
Equity holders of the parent		Rs 60,597,901	Rs 368,807,255				
Non-Controlling Interest		125,757,864	184,661,836				
		186,355,765	553,469,092				
Weighted Average Earnings Per Share		Rs 0.30	Rs 2.05	-85%	Rs 0.30	Rs 2.04	-85%
Diluted Earnings Per Share		0.25	1.50	-84%	0.25	1.49	-84%
Dividend per share		-	-	-	-	-	-
Interim dividend paid per share		-	-	-	-	-	-
Final proposed dividend per share		-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2023	Unaudited 2022	Change	Unaudited 2023	Unaudited 2022 Restated Rs.	Change
	Rs.	Rs.	%	Rs.		%
Profit for the period	186,355,765	553,469,092	-66%	60,597,901	367,944,923	-84%
Change in Fair Value of Available for Sale Financial Assets	389,924,309	201,198,670	94%	7,838,109	3,124,438	151%
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	-	22,576,292	777,976,035	-97%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	12,824,389	3,331,078	285%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	(360,228,345)	1,211,443,146	-130%	-	-	-
Total Comprehensive Income for the period	228,876,118	1,969,441,986	-88%	91,012,302	1,149,045,396	-92%
Attributable to;						
Equity holders of the parent	91,012,302	1,149,907,728				
Non-Controlling Interest	137,863,816	819,534,257				
	228,876,118	1,969,441,986				

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %
Gross Written Contribution (Premium)	2,317,357,209	2,106,265,120	10%	975,904,590	939,957,555	4%
Retakaful Contribution (Reinsurance Premium)	(413,584,671)	(464,286,403)	11%	(282,003,589)	(334,773,336)	16%
Net Written Contribution (Premium)	1,903,772,538	1,641,978,717	16%	693,901,001	605,184,218	15%
Net Change in Reserve for Un-Earned Contribution (Premium)	(37,893,418)	(104,071,954)	-64%	(29,547,711)	(33,090,074)	11%
Net Earned Contribution (Premium)	1,865,879,120	1,537,906,763	21%	664,353,290	572,094,144	16%
Other Revenue						
Income from investments	282,373,486	209,611,426	35%	59,124,658	43,235,150	37%
Share of Profit of Equity accounted Subsidiaries	-	-	-	23,692,126	22,717,964	4%
Other income	108,940,417	79,426,148	37%	38,285,075	31,590,052	21%
Total Revenue	2,257,193,022	1,826,944,337	24%	785,455,150	669,637,311	17%
Benefits, Losses and Expenses						
Takaful (Insurance) claims and benefits	(1,429,844,895)	(1,016,935,674)	-41%	(511,045,328)	(354,371,904)	-44%
Acquisition Cost (net of reinsurance commission)	(159,761,380)	(135,615,005)	-18%	(48,536,700)	(48,303,665)	0%
Change in Family Takaful Contract Liability	(143,370,461)	(109,732,037)	-31%	-	-	-
Other Operating and Administration Expenses	(499,699,658)	(456,617,724)	-9%	(227,552,894)	(212,455,046)	-7%
Depreciation	(18,043,144)	(33,317,875)	46%	(10,349,534)	(4,827,325)	-114%
Total Claims, Benefits and Expenses	(2,250,719,537)	(1,752,218,316)	-28%	(797,484,455)	(619,957,941)	-29%
Profit / (Loss) from Operations	6,473,485	74,726,021	-91%	(12,029,306)	49,679,370	-124%
Finance cost	(16,254,480)	(16,602,824)	2%	(10,607,605)	(13,265,329)	20%
Profit / (Loss) Before Taxation	(9,780,994)	58,123,197	-117%	(22,636,911)	36,414,042	-162%
Income Tax Expenses	(1,795,204)	(5,242,576)	66%	-	-	-
Net Profit / (Loss) for the Period	(11,576,198)	52,880,620	-122%	(22,636,911)	36,414,042	-162%
Attributable to:						
Equity holders of the parent	Rs (22,753,160)	Rs 38,138,707				
Non-Controlling Interest	11,176,963	14,741,915				
	(11,576,198)	52,880,620				
Weighted Average Earnings Per Share	Rs (0.11)	Rs 0.26	-143%	Rs (0.11)	Rs 0.18	-162%
Diluted Earnings Per Share	(0.09)	0.21	-143%	(0.09)	0.15	-162%
Dividend per share	-	-	-	-	-	-
Interim dividend paid per share	-	-	-	-	-	-
Final proposed dividend per share	-	-	-	-	-	-

OTHER COMPREHENSIVE INCOME

FOR THE QUARTER ENDED 30 SEPTEMBER	Group			Company		
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Change %
Other Comprehensive Income						
Profit/(Loss) for the period	(11,576,198)	52,880,620	-122%	(22,636,911)	36,414,042	-162%
Change in Fair Value of Available for Sale Financial Assets	2,096,824	114,147,578	-98%	3,656,924	1,636,195	124%
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	0%	91,536,142	68,469,934	34%
Fair Value of Available for Sale Financial Assets Transferred to Policyholder's Reserve	5,086,002	4,428,697	15%	-	-	-
Foreign Currency Translation Differences for Foreign Operations	160,378,941	5,352,465	2896%	-	-	-
Total Comprehensive Income / (Loss) for the period	155,985,569	176,809,360	-12%	72,556,155	106,520,170	-32%
Attributable to:						
Equity holders of the parent	72,439,905	108,244,834				
Non-Controlling Interest	83,545,664	68,564,526				
	155,985,569	176,809,360				

GROUP STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 SEPTEMBER

	Other Reserves			Revenue Reserves		Non Controlling Interest	Total Equity
	Stated Capital	Revaluation Reserve	Translation Reserve	Available For Sale Reserve	Policy Holder's Rserve	Accumulated Losses	
	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)	(Rs)
Balance as at 1st January 2022	1,860,001,339	45,424,314	169,539,884	67,981,761	11,059,608	(440,676,168)	2,390,649,385
Net Profit for the period	-	-	-	-	-	368,807,255	553,469,092
Other Comprehensive Income							
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	110,659,269	-	-	201,198,670
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	2,741,477	-	3,331,078
Foreign Currency Translation Difference	-	-	666,293,730	-	-	-	1,211,443,146
Total Comprehensive Income	-	-	666,293,730	110,659,269	2,741,477	368,807,255	1,969,441,986
Dividend Distributed							
						(11,863,636)	(11,863,636)
Balance as at 30th September 2022	1,860,001,339	45,424,314	835,833,614	178,641,029	13,801,085	(71,868,912)	4,348,227,734
Net Profit for the period	-	-	-	-	-	(69,867,360)	(65,860,870)
Foreign Currency Translation Difference	-	-	1,335,654	-	-	-	2,428,461
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	1,448,892	-	1,760,501
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	(13,836,861)	-	-	(29,150,217)
Defined Benefit Plan Actuarial Losses	-	-	-	-	-	11,761,756	11,606,620
Total Comprehensive Income	-	-	1,335,654	(13,836,861)	1,448,892	(58,105,604)	(79,215,505)
Dividend Distributed	-	-	-	-	-	-	(39,069,953)
	-	-	-	-	-	-	(39,069,953)
Total Changes in Ownership Interests	-	-	-	-	-	-	(39,069,953)
Balance as at 31st December 2022	1,860,001,339	45,424,314	837,169,268	164,804,169	15,249,977	(129,974,517)	4,229,942,276
Net Profit for the period	-	-	-	-	-	60,597,901	186,355,766
Convertible Debenture (Note 21.1)	106,337,309	-	-	-	-	-	106,337,309
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	214,458,370	-	-	389,924,309
Net Change in Fair Value of Available-for-Sale Financial Assets Transferred (to)/ from Policyholders Reserve	-	-	-	-	10,554,472	-	12,824,389
Foreign Currency Translation Difference	-	-	(198,125,590)	-	-	-	(360,228,345)
Total Comprehensive Income	106,337,309	-	(198,125,590)	214,458,370	10,554,472	60,597,901	335,213,428
Dividend Distributed	-	-	-	-	-	-	(27,331,948)
	-	-	-	-	-	-	(27,331,948)
Total changes in ownership interests	-	-	-	-	-	-	(27,331,948)
Balance as at 30th September 2023	1,966,338,648	45,424,314	639,043,678	379,262,538	25,804,449	(69,376,616)	4,537,823,833

COMPANY STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 SEPTEMBER

	Stated Capital	Other Reserves	Revenue Reserves		Total Equity
		Revaluation Reserve	Accumulated Profit/ (Losses)	Available For Sale Reserve	
	(Rs)	(Rs)	Restated (Rs)	(Rs)	Restated (Rs)
Balance as at 1st January 2022	1,860,001,339	33,541,361	(237,521,616)	17,420,527	1,673,441,610
Net Profit/ (Loss) for the period	-	-	367,944,923	-	367,944,923
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	777,976,035	-	777,976,035
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	3,124,438	3,124,438
Total Comprehensive Income	-	-	1,145,920,959	3,124,438	1,149,045,396
Balance as at 30th September 2022	1,860,001,339	33,541,361	908,399,342	20,544,965	2,822,487,007
Net Profit/ (Loss) for the period	-	-	(73,386,234)	-	(73,386,234)
Defined Benefit Plan Actuarial Losses	-	-	10,730,143	-	10,730,143
Net Change in Fair Value of Available-for-Sale Financial Assets	-	-	-	1,755,025	1,755,025
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	(13,491,996)	-	(13,491,996)
Total Comprehensive Income	-	-	(76,148,087)	1,755,025	(74,393,062)
Balance as at 31st December 2022	1,860,001,339	33,541,361	832,251,255	22,299,990	2,748,093,944
Net Profit/ (Loss) for the period	-	-	60,597,901	-	60,597,901
Convertible Debenture (Note 21.1)	106,337,309	-	-	-	106,337,309
Share of Other Comprehensive income of Equity accounted Subsidiaries	-	-	22,576,292	-	22,576,292
Net Change in Fair Value of Available for Sale Financial Assets	-	-	-	7,838,109	7,838,109
Total Comprehensive Income	106,337,309	-	83,174,193	7,838,109	197,349,611
Balance as at 30th September 2023	1,966,338,648	33,541,361	915,425,448	30,138,099	2,945,443,555

CASH FLOW STATEMENT

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2023 Rs	Unaudited 2022 Rs	Unaudited 2023 Rs	Unaudited 2022 Rs
Cash Flows from Operating Activities				
Contribution (Premium) received from customers	7,474,718,222	6,622,519,986	3,603,318,711	2,621,183,119
Retakaful (Reinsurance) Premium paid	(1,548,441,800)	(1,387,479,052)	(874,816,152)	(775,403,250)
Claims, Benefits and Expenses paid	(3,390,842,795)	(2,600,448,680)	(1,481,246,268)	(974,268,012)
Retakaful (Reinsurance) Receipts in respect of Claims	198,717,085	270,531,263	107,614,048	195,378,450
Cash paid to and behalf of Employees	(1,355,439,271)	(1,022,478,241)	(749,283,831)	(632,840,481)
Profits received from Investments and Other Income	654,423,463	559,630,495	132,130,553	117,954,190
Dividends received	109,344,517	59,039,675	33,405,714	14,500,000
Finance Cost paid	(45,432,549)	(48,359,304)	(35,509,479)	(39,634,605)
Other operating cash receipts/ (payments)	(785,516,281)	(761,046,068)	(511,564,338)	(283,700,199)
Cash Flow from/(used in) Operating Activities (Note A)	1,311,530,593	1,691,910,072	224,048,958	243,169,212
Gratuity Paid	(8,383,474)	(6,369,464)	(7,489,421)	(4,246,972)
Income Tax Paid	(35,503,352)	(63,817,567)	-	-
Net Cash Flow from/(used in) Operating Activities	1,267,643,766	1,621,723,041	216,559,537	238,922,240
Cash Flows from/(used in) Investing Activities				
Purchase of Financial Assets	(2,845,577,318)	(2,929,728,958)	(1,274,235,407)	(1,190,773,275)
Sale of Financial Assets	2,346,287,005	2,665,461,996	1,077,774,929	1,176,652,790
Purchase of Intangible Assets	(14,253,368)	(3,972,162)	(2,859,687)	(902,370)
Purchase of Property, Plant & Equipment	(76,623,272)	(14,866,724)	(16,985,299)	(8,260,420)
Net Cash Flow used in Investing Activities	(590,166,952)	(283,105,849)	(216,305,464)	(23,283,276)
Cash Flows from Financing Activities				
Repayment of Lease Facility	(49,316,766)	(30,136,675)	(29,615,108)	(13,658,797)
Conversion of Debenture	(106,337,309)	(75,000,000)	(106,337,309)	(75,000,000)
Stated Capital (Convertible Debenture)	106,337,309		106,337,309	
Net cash flows from financing activities	(110,054,428)	(131,500,311)	(29,615,108)	(88,658,797)
Increase/(Decrease) in Cash and Cash Equivalents (Note B)	567,422,387	1,207,116,881	(29,361,034)	126,980,167

NOTE A

Reconciliation of Operating Profit/(Loss) with Cash Flows from Operations

Profit from Operations	267,291,666	665,645,963	96,107,379	407,579,529
Share of Profit of Equity accounted Subsidiaries	-	-	(142,693,499)	(237,664,229)
Depreciation	69,658,914	51,359,187	32,369,786	18,877,973
Amortisations	5,542,144	10,447,520	1,685,061	1,652,940
Provision for Gratuity	20,697,784	17,395,887	9,375,003	8,250,003
Unrealised (Income)/Losses	6,940,407	(57,371,313)	-	-
(Increase)/Decrease in Debtors and Other Assets	(225,916,814)	(657,894,914)	(60,093,753)	(126,953,712)
Increase/(Decrease) Family Takaful (Long Term Insurance) Fund	317,746,499	192,864,883	-	-
Increase/(Decrease) in Unearned Contribution (Premium)	903,431,765	530,946,920	262,379,733	151,578,722
Increase/(Decrease) in Claims Provision	119,754,645	297,865,437	(59,056,377)	564,737
Increase/(Decrease) in Other Creditors	(128,183,869)	689,009,807	119,485,103	58,917,855
Finance Cost Paid	(45,432,549)	(48,359,304)	(35,509,479)	(39,634,605)
Cash Flows from/(used in) Operating Activities	1,311,530,593	1,691,910,072	224,048,958	243,169,212

NOTE B

Increase/(Decrease) in Cash and Cash Equivalents

Cash at bank and in Hand and Cash Equivalents	1,296,116,083	1,935,810,577	305,672,645	462,013,846
Cash and Cash Equivalents at the end of the period	1,296,116,083	1,935,810,577	305,672,645	462,013,846
Cash and Cash Equivalents at the beginning of the year	728,693,696	728,693,696	335,033,678	335,033,678
Increase/(Decrease) in Cash and Cash Equivalents	567,422,387	1,207,116,881	(29,361,034)	126,980,167

STATEMENT OF FINANCIAL POSITION
FAMILY TAKAFUL / LIFE INSURANCE SEGMENT - SUPPLEMENTAL

AS AT	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
ASSETS		
Intangible Assets	17,709,589	20,455,549
Property, Plant and Equipment	20,818,571	21,318,102
Right of use of Asset	14,131,974	11,954,352
Investment Property	150,550,000	150,550,000
Financial Assets	1,012,802,082	1,052,175,579
Financial Assets - Unit Linked	2,853,374,607	2,425,246,987
Contribution (Premium) Receivable	48,243,099	37,975,617
Other Assets	74,792,686	38,715,417
Cash and Bank Balances	20,029,626	46,507,026
Cash and Bank Balances - Unit Linked	4,616,445	15,841,002
Total Assets	4,217,068,684	3,820,739,628
LIABILITIES		
Insurance Contract Liability - Family Takaful Fund	303,424,871	356,693,216
Insurance Contract Liability - Family Takaful Linked Unit Linked	2,847,704,969	2,473,579,681
Employee Benefits	11,983,882	10,820,935
Finance Lease Liability	15,310,806	13,039,309
Subordinated Debt	108,400,020	122,612,347
Other Liabilities	162,126,919	181,248,494
Other Liabilities - Unit Linked	174,562,421	118,930,337
Total Liability	3,623,513,889	3,276,924,318
SHAREHOLDERS' EQUITY		
Stated Capital	500,000,000	500,000,000
Other Reserves	11,998,572	12,326,088
Retained Earnings	81,556,223	31,489,221
Total Equity	593,554,795	543,815,309
Total Equity & Liability	4,217,068,684	3,820,739,628

The above Long Term Insurance (Family Takaful) Balance Sheet is to be read in conjunction with the consolidated Statement of Financial Position.

NOTES TO THE FINANCIAL STATEMENTS

1. Figures in the Interim Financial Statements for the period ended 30th September 2023 are provisional and unaudited.

2. These Interim Financial Statements of the Company and Group have been prepared in accordance with Sri Lanka Accounting Standards (SLAS) prefixed both SLFRS (corresponding to IFRS) and LKAS (corresponding to IAS), promulgated by the Institute of Chartered Accountants of Sri Lanka (ICASL) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000.

The same accounting policies and methods of computation as stated in the Annual Report 2022 have been followed in preparation of these Interim Financial Statements.

The Company has voluntarily changed its accounting policy for investments in subsidiaries in Separate financial statement from Cost model to Equity Accounting with effect from 31st December 2022 in compliance to LKAS 27 Paragraph 10.

As per LKAS 8, Company will adjust the opening balance of each affected component of equity for the earliest prior period presented and the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.

2.1 Comparative information has been re-valued/re-classified and restated where necessary, to confirm to the current period recognition, measurement and presentation.

3. Right of Use Lease Asset

3.1 Right of Use Lease Asset AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
Balance as at 1st January	412,671,693	250,045,444	41,162,369	21,550,355
Additions & Improvements	7,977,707	58,023,472	-	53,067,167
Depreciation for the period	(49,177,265)	(70,093,274)	(22,781,368)	(33,455,153)
Exchange Gain/(Loss)	(38,050,226)	174,696,050	-	-
Closing Right of use lease asset as at 30th September	333,421,909	412,671,693	18,381,001	41,162,369

3.2 Lease Liability (Lease Creditor)

AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
Balance as at 1st January	206,129,829	123,837,659	43,266,252	22,426,056
Additions & Improvements	7,977,707	58,023,472	-	53,067,167
Interest Expense recognised in Profit or Loss	12,883,714	19,926,638	4,736,520	9,661,872
Settlement through lease payment	(49,316,766)	(67,397,613)	(29,615,108)	(41,888,843)
Exchange Gain/(Loss)	(15,886,254)	71,739,674	-	-
Closing lease Creditors at 30th September	161,788,231	206,129,829	18,387,664	43,266,252

4. Financial Assets

AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
Financial Assets at Fair Value Through Profit or Loss (4.1)	392,754,349	392,862,659	62,113,585	46,239,733
Available For Sale Financial Assets (4.2)	2,071,549,346	1,795,831,125	104,584,516	41,746,407
Loans & Receivables (4.3)	5,401,158,821	4,868,039,094	1,357,551,120	1,289,918,530
	7,865,462,515	7,056,732,879	1,524,249,221	1,377,904,670

AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
4.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	242,964,018	221,862,659	42,256,085	34,989,733
Investment in Bullion	149,790,330	171,000,000	19,857,500	11,250,000
	392,754,349	392,862,659	62,113,585	46,239,733
4.2 Available For Sale Financial Assets				
Investments in Equity Securities - Quoted	1,888,767,002	1,691,071,200	-	-
Unit Trust	182,257,344	104,234,925	104,059,516	41,221,407
Investments in Equity Securities - Unquoted	525,000	525,000	525,000	525,000
	2,071,549,346	1,795,831,125	104,584,516	41,746,407
4.3 Loans and Receivable				
Repurchase Agreements	2,014,316,606	1,597,745,775	597,141,284	465,438,580
Fixed Term Deposits	3,364,980,915	3,251,868,068	741,684,237	808,597,234
Advances to Company Officers	21,861,300	18,425,251	18,725,600	15,882,715
	5,401,158,821	4,868,039,094	1,357,551,120	1,289,918,530

NOTES TO THE FINANCIAL STATEMENTS

5. Financial Assets - Unit Linked

AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
Financial Assets at Fair Value Through Profit or Loss (5.1)	158,029,597	114,415,261	-	-
Available For Sale Financial Assets (5.2)	38,301,081	34,161,002	-	-
Loans & Receivables (5.3)	2,657,043,928	2,276,670,724	-	-
	2,853,374,607	2,425,246,987	-	-

AS AT	Group		Company	
	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.	Unaudited 30.09.2023 Rs.	Audited 31.12.2022 Rs.
5.1 Financial Assets at Fair Value Through Profit & Loss				
Investments in Equity Securities	70,797,431	62,665,261	-	-
Investment in Bullion	87,232,167	51,750,000	-	-
	158,029,597	114,415,261	-	-
5.2 Available For Sale Financial Assets				
Unit Trust	38,301,081	34,161,002	-	-
	38,301,081	34,161,002	-	-
5.3 Loans and Receivable				
Repurchase Agreements	91,570,805	60,612,070	-	-
Fixed Term Deposits	2,565,473,123	2,216,058,654	-	-
	2,657,043,928	2,276,670,724	-	-

6. Gross Written Contribution (Premium)

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Unaudited 2023 Rs.	Unaudited 2022 Rs.
6.1 Non-Life (General Takaful)				
Motor	1,635,632,428	1,401,708,123	1,519,933,827	1,250,711,161
Fire	635,432,588	667,714,307	316,485,680	270,854,670
Marine	539,695,341	658,293,692	321,579,971	371,593,145
Medical	3,522,405,275	2,405,027,531	565,921,331	423,403,696
Miscellaneous	443,669,601	457,901,850	236,498,915	230,419,471
	6,776,835,233	5,590,645,503	2,960,419,723	2,546,982,143
6.2 Long Term Insurance (Family Takaful)				
Unit Linked	780,530,348	723,780,152	-	-
Family Takaful	17,318,852	24,806,748	-	-
Mortgage & Group Family Takaful	28,487,306	26,313,906	-	-
	826,336,505	774,900,806	-	-
Total Gross Written Premium	7,603,171,738	6,365,546,309	2,960,419,723	2,546,982,143

7. Revenue

7.1 Revenue by Segment

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.
Segment				
Amana Takaful PLC	2,307,821,864	2,061,140,593	2,307,821,864	2,061,140,593
Amana Takaful Life PLC	1,276,341,079	1,026,232,269	-	-
Amana Takaful (Maldives) PLC	3,071,607,694	2,254,185,876	-	-
Amana Global Ltd	1,256,724	3,181,240	-	-
Eliminations	(180,715,937)	(260,385,469)	-	-
	6,476,311,424	5,084,354,509	2,307,821,864	2,061,140,593

7.2 Revenue

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2023 Rs.	Unaudited 2022 Rs.	Unaudited 2023 Rs.	Unaudited 2022 Restated Rs.
Gross written Contribution (Premium)	7,603,171,738	6,365,546,309	2,960,419,723	2,546,982,143
Less :				
Retakaful Contribution (Reinsurance Premium)	(1,390,266,633)	(1,582,728,488)	(834,791,749)	(854,111,017)
Net Written Contribution (Premium)	6,212,905,105	4,782,817,821	2,125,627,974	1,692,871,126
Net Change in Reserve for Un-Earned Contribution (Premium)	(903,431,765)	(530,946,920)	(262,379,733)	(151,578,722)
Net Earned Contribution (Premium)	5,309,473,341	4,251,870,901	1,863,248,241	1,541,292,403
Income from investments	829,114,655	464,952,434	199,749,571	72,532,019
Share of Profit of Equity accounted Subsidiaries	-	-	142,693,499	237,664,229
Other income	337,723,428	367,531,174	102,130,553	209,651,941
Total Revenue	6,476,311,424	5,084,354,509	2,307,821,864	2,061,140,593

NOTES TO THE FINANCIAL STATEMENTS

8. The Company has not done a valuation of the insurance contract liabilities Life(FamilyTakaful) by the consultant actuary for the period ended 30th September 2023.Valuation will be performed annually.

9. The Company has not done a Liability Adequacy Test (LAT) in respect of Insurance Contract Liabilities - Non-Life Fund as per SLFRS 4 - Insurance Contracts as at 30th September 2023. LAT will be performed annually

10. Profit/ (Loss) Before Taxation by Segment

FOR THE PERIOD ENDED 30 SEPTEMBER	Group		Company	
	Unaudited 2023	Unaudited 2022	Unaudited 2023	Unaudited 2022
Segment				
Amana Takaful PLC	60,597,901	367,944,923	60,597,901	367,944,923
Amana Takaful Life PLC	36,915,093	43,625,983	-	-
Amana Takaful Maldives PLC	300,445,336	457,017,649	-	-
Amana Global Ltd	-	862,332	-	-
Eliminations	(176,099,213)	(252,164,229)	-	-
Total	221,859,117	617,286,658	60,597,901	367,944,923

11. Cash and Cash Equivalents in Statement of Cash Flow

AS AT	Group		Company	
	Unaudited	Audited	Unaudited	Audited
	30.09.2023	31.12.2022	30.09.2023	31.12.2022
Cash and Bank Balances	239,839,321	244,776,076	81,641,609	61,439,739
Cash and Bank Balances - Unit Linked	4,616,445	15,841,002	-	-
Investment in Government Securities	1,051,660,317	1,688,189,581	224,031,036	400,798,721
	1,296,116,083	1,948,806,658	305,672,645	462,238,459

12. 12.1 Amana Takaful PLC is liable to income tax at 30% (2022 - 30%)

12.2 Amana Global Ltd is liable to income tax at 30% (2022 -30%)

12.3 Amana Takaful Maldives PLC is liable to income tax at 15% (2022 - 15%)

12.4 Amana Takaful Life PLC is liable for income tax at 30% (2022 - 30%)

13. Deferred tax assets, including those related to temporary tax effects of income tax losses and credits available to be carried forward, are recognized only to the extent that it is probable that future taxable profits will be available against which the asset can be fully utilized. Deferred tax assets, if any, are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized.

Accordingly Amana Takaful PLC recognized taxable loss during the financial year 2023 is NIL and the recognised tax losses of which Deferred Tax Asset was not recognized in 2022 amounting to Rs.1,215,512,684/- will be carried forward for another five years.

14. The nature of related party transactions in the current period is similar to those reported in the Annual Report 2022.

15. There has not been a significant change in the assets pledged as disclosed in the Annual Report 2022.

16. Comparative figures have been restated wherever necessary to conform to the current periods presentation.

17.Contingencies

A contingent liability at a gross value of Rs. 365 million has been determined where, Amana Takaful PLC's liability on the retention after recovery of reinsurance is assessed at Rs. 33 million, if any. The said claims are subject to legal proceeding at the reporting date, the lawyers are of the view that these cases will be favourable to the Company.

The Group operates in the insurance industry and is subject to legal proceedings in the normal course of business. While it is not practicable to forecast or determine the final results of all pending or threatened legal proceedings, management does not believe that such proceedings (including litigation) will have a material effect on its results and financial position.

The Group is also subject to insurance solvency regulations in all the territories where it operates and has complied with all these solvency regulations. There are no contingencies associated with the Group's compliance or lack of compliance with such regulations.

18. No events have occurred since the reporting date that necessitates adjustments to or disclosure in the Financial Statements.

19.In terms of Direction for Identification and Treatment of One-Off Surplus issued by the Insurance Regulatory Commission of Sri Lanka (Direction # 16 – 20.03.2018), the Long-Term Insurance Business of the Company has generated a One-Off Surplus of Rs.28,963,821 as at 1st January 2016. The One-Off Surplus amount remaining after relevant additions and deductions is retained in the Policyholders Liability in the Long Term Insurance Fund

20.Related Implications of Increasing Foreign Exchange, Interest and Inflation Rates

Sri Lanka has been facing foreign exchange crisis with the prevailing economic situation in the country and the deterioration of foreign reserves is putting pressure on exchange rate to depreciate in the market. The direct exposure to foreign exchange rates of the Group is minimum due to the limited transactions carried out with foreign counter parties and the Group continues to monitor its effects on financial statements under various stressed scenarios.

Although interest rates and inflation have increased significantly during the last financial year, country experienced a decrease in interest rate parallel to the inflation decrease, from the final phase of 2022. The Group and Company, being in the Insurance sector, will have a positive impact from increased interest rates on investments while inflation will have a negative impact on expenses.

Sri Lanka was able to reach a preliminary agreement with the International Monetary Fund (IMF) for an Extended Fund Facility. The Fund Facility is intended to restore macroeconomic stability and debt sustainability, to unlock the growth potential in the economy. However, Sri Lanka is still in the process of analysing the impact of these structural reforms including debt restructuring and impact of the same is uncertain.

The Board continue to monitor the potential implications of these factors on the groups business activities, profitability, solvency and liquidity position and will take proactive action to meet future obligations and ensure business continuity.

21. Stated Capital as at 30th September 2023 is represented by shares in issue as given below:

	Unaudited 30.09.2023	Unaudited 31.12.2022
Number of shares as at		
Ordinary shares - Voting (Note 21.1)	203,630,643	180,000,130

21.1. Share movement

	Number of shares	Nature of Transaction
Opening as at 31.12.2022	180,000,130	
Additions	23,630,513	Conversion of Debenture
Closing	203,630,643	

22. Basic Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the the weighted average number of ordinary shares outstanding during the period.

	Unaudited 30.09.2023	Unaudited 30.09.2022
Amount used as the Numerator		
Net Profit attributable to Ordinary Shareholders (Rs.)	60,597,901	367,944,923
Number of Ordinary Shares used as Denominator:		
Ordinary shares - Voting (One vote per Ordinary Share)	203,630,643	180,000,130

22.1 Diluted Earnings per Share is calculated by dividing the net profit for the period attributable to ordinary shareholders by the weighted average number of shares outstanding and dilutive shares during the period.

	Unaudited 30.09.2023	Unaudited 30.09.2022
Amount used as the Numerator		
Net Profit attributable to Ordinary Shareholders (Rs.)	60,597,901	367,944,923
Number of shares used as Denominator:		
Ordinary shares - Voting (One vote per Ordinary Share)	203,630,643	180,000,130
convertible shares	43,036,154	66,666,667
Total Shares	246,666,797	246,666,797
Diluted Earnings Per Share	0.25	1.49

23. Share Information

	Group		Company	
	30.09.2023 Rs.	31.12.2022 Rs.	30.09.2023 Rs.	31.12.2022 Rs.
Net asset value per share	14.67	15.51	14.46	15.27
Market price per share as at	12.10	12.20	-	-
Highest price per share for the period	13.90	14.00	-	-
Lowest price per share for the period	11.00	10.10	-	-

NOTES TO THE FINANCIAL STATEMENTS

Twenty five Largest Shareholders as at 30th September 2023

Name of Shareholder	No. of Shares	%
Seylan Bank PLC/Senthilver Holdings (Pvt) Ltd	53,052,593	26.05
Mr. Sattar Kassim	30,861,752	15.16
Amana Bank PLC/Mr.Osman Kassim	30,500,000	14.98
Amana Bank PLC/Mr. Shafik Kassim	30,468,567	14.96
Amana Bank PLC	27,009,180	13.26
Mr. Osman Kassim / Mrs.K.Kassim	14,901,823	7.32
Aberdeen Holdings (Private) Limited	5,156,108	2.53
Falcon Trading (Pvt) Ltd.	2,861,302	1.41
Seylan Bank PLC/Jayantha Dewage	414,308	0.20
Mrs. Nabeela Haroon	270,000	0.13
Mr. Gajath Chrysantha Goonetilleke	256,031	0.13
Mr. Mohamed Hussain Mohamed Faizer / Mrs.F.R.Faizer	185,248	0.09
Mr. Amirally Lukmanjee	168,621	0.08
Mr. Kali Mudiyanselegedara Seyyadu Mohamed Razik	150,292	0.07
Mr. Wanniachchige Lal Thilakasiri Anandawansa	121,206	0.06
Commercial Bank of Ceylon PLC/s.a.Gulamhusein	113,757	0.06
Mrs. Pattinideva Asoka Swarna Kanthie Beruwalage	100,604	0.05
Mr. Mohamed Sajjad Mawzoon	100,000	0.05
Mr. Arunasalam Sithampalam	99,179	0.05
Mrs. Khairunnissa Kassim	97,920	0.05
Mr. Thevamoorthy Ravi	90,000	0.04
Sampath Bank PLC/Mr. Abishek Sithampalam	78,605	0.04
Mr. Sugathadasa Ruwanpathirana /Mrs. V. Ruwanpathirana	77,824	0.04
Mr. Periyasaami Pillai Thevarajah	77,000	0.04
Mr. Sithambaram Pillai Jayakumar / Ms. P. Meena	75,000	0.04
	197,286,920	96.88
Others	6,343,723	3.12
Total	203,630,643	100

Public Shareholding

	30.09.2023	31.12.2022
Float Adjusted Market Capitalisation (Rs.)*	2,401,411,436	2,023,165,552
Percentage of Shares held by the Public	97.46%	92.13%
Number of Public Shareholders	4599	4719

The Company Complies with the minimum public shareholding required under option 02 of section 7.14.1 (b) of the Listing Rules.

* Float Adjusted Market Capitalisation = Market Capitalisation X Public Holding Percentage

Directors' Shareholdings

	No. of Shares 30.09.2023	No. of Shares 31.12.2022
Mr. M. Zulficar Ghouse - Chairman	Nil	Nil
Mr. M.H.S. Kassim - Managing Director	10,780	10,780
Mr. Syed Rizwan Hussain	Nil	Nil
Ms.E. D. Wickramasuriya	Nil	Nil
Mr. Thilan Manjith Wijesinghe	Nil	Nil
Mr. Abdullah Kassim	Nil	Nil
Mr. Padmesh Sajjeewa Weerasekera	Nil	Nil

CEO's Shareholding

Mr. Ahmed Shehan Feisal - CEO	Nil	Nil
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CORPORATE INFORMATION

NAME OF THE COMPANY Amana Takaful PLC	REGISTERED OFFICE No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
LEGAL STATUS Public Quoted Company with Limited Liability incorporated in Sri Lanka on 7th December 1998. Registered under the Companies Act, No. 07 of 2007 on 27th June 2007.	SUBSIDIARY Amana Takaful Life PLC No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka Amana Takaful (Maldives) PLC H. Mialani, Sosun Mogu, Male, Republic of Maldives Amana Global Limited No. 660 - 1/1, Galle Road, Colombo 03, Sri Lanka
COMPANY REGISTRATION NUMBER PQ 23	
TAX PAYER IDENTIFICATION NUMBER(TIN) 134007958	AUDITORS Ernst & Young Chartered Accountants
STOCK EXCHANGE LISTING The shares of the Company are listed in the Second Board of the Colombo Stock Exchange, Sri Lanka in November 2006. Stock Exchange Code for Amana Takaful PLC shares is 'ATL'.	CONSULTANT ACTUARIES - LONG-TERM INSURANCE Actuarial Partners Consulting Sdn Bhd Suite 17.02 Kenanga International Jalan Sultan Ismail 50250 Kuala Lumpur, Malaysia CONSULTANT ACTUARIES – GENERAL INSURANCE Actsure Lab (Pvt) Ltd 11/2, 1st Lane, Pagoda Road Nugegoda Sri Lanka
DIRECTORS Mr. M. Zulficar Ghouse - Chairman Mr. M.H.S. Kassim - Managing Director Mr. Syed Rizwan Hussain Mrs.E. D. Wickramasuriya Mr. Thilan Manjith Wijesinghe Mr. Abdullah Osman Kassim Mr. Padmesh Sajjeewa Weerasekera	REINSURANCE PANEL Swiss Reinsurance Company Ltd Labuan Reinsurance (L) Ltd, Labuan, Malaysia Asian Re Saudi Re Tunis Re Ocean Re Hannover Re Munich Re Score Re
SHARIAH ADVISORY COUNCIL Mufti M.I.M. Rizwe - Chairman Mufti Shafique Ahmed Jakhura - Member Ash-Sheikh Murshid Mulaffar- Secretary	
CHIEF EXECUTIVE OFFICER - ATPLC Mr. Ahmed Shehan Feisal	
CHIEF EXECUTIVE OFFICER - ATLPLC Mr. Gehan Shivantha Rajapakse	SECRETARIES Managers & Secretaries (Pvt) Ltd
CHIEF EXECUTIVE OFFICER - ATM PLC Mr. Hareez Sulaiman	PRINCIPAL BANKERS Amana Bank PLC/Pan Asia Bank/National Development Bank/ Bank of Ceylon/Commercial Bank/Sampath Bank/Hatton National Bank /Nations Trust Bank/ Seylan Bank/MCB Bank